SECURITIES, BONDS, EQUITY, DERIVATIVES AND INVESTMENT FUNDS

CLAIM-PRIORITY WATERFALL → BOND PRICING BOARD → CREDIT-RISK DECOMPOSITION → DERIVATIVE OBLIGATION FORK → PURPOSE TEST → CLEARING AND LEVERAGE RAIL

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW | ● SUBORDINATE EXTRA | ● APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 CLAIM-PRIORITY WATERFALL

CLAIM-PRIORITY WATERFALL | ISSUER CASH FLOW | CONTRACTUAL DEBT SERVICE | BONDHOLDER PRIORITY | EQUITY RESIDUAL RETURN | MUST REMEMBER | BONDS, EQUITY, DERIVATIVES, MUTUAL FUNDS, ETFS, AIFS AND PENSION

CORE CLAIM
- ISSUER CASH FLOW
- CONTRACTUAL DEBT SERVICE

MECHANISM
- BONDHOLDER PRIORITY
- EQUITY RESIDUAL RETURN

CONSEQUENCE / LIMIT
- MUST REMEMBER: Bonds, equity, derivatives, mutual funds, ETFs, AIFs and pension products...
- ISSUER CASH FLOW

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Bonds, equity, derivatives, mutual funds, ETFs, AIFs and pension products.

01

STAGE 01 BOND PRICING BOARD

BOND PRICING BOARD | CONTRACTUAL RATE | MARKET-PRICE-BASED RETURN | YIELD RISE | FIXED BOND PRICE GENERALLY FALLS | DURATION + CONVEXITY | SENSITIVITY DETAIL

COUPON → contractual rate

YIELD → market-price-based return → YIELD RISE → fixed bond price generally falls → DURATION + CONVEXITY → sensitivity detail

CORE CLAIM
- COUPON → contractual rate
- YIELD → market-price-based return

MECHANISM
- YIELD RISE → fixed bond price generally falls
- DURATION + CONVEXITY → sensitivity detail

CONSEQUENCE / LIMIT
- COUPON → contractual rate
- YIELD → market-price-based return

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: YIELD RISE → fixed bond price generally falls.

02

STAGE 02 CREDIT-RISK DECOMPOSITION

CREDIT-RISK DECOMPOSITION | BENCHMARK YIELD | DEFAULT PREMIUM | LIQUIDITY PREMIUM | OTHER RISK PREMIA | CREDIT SPREAD

BENCHMARK YIELD

DEFAULT PREMIUM → LIQUIDITY PREMIUM → OTHER RISK PREMIA → CREDIT SPREAD

CORE CLAIM
- BENCHMARK YIELD
- DEFAULT PREMIUM

MECHANISM
- LIQUIDITY PREMIUM
- OTHER RISK PREMIA → CREDIT SPREAD

CONSEQUENCE / LIMIT
- BENCHMARK YIELD
- DEFAULT PREMIUM

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIQUIDITY PREMIUM; OTHER RISK PREMIA → CREDIT SPREAD.

03

STAGE 03 DERIVATIVE OBLIGATION FORK

DERIVATIVE OBLIGATION FORK | SYMMETRIC BUYER/SELLER OBLIGATIONS | OPTION BUYER | RIGHT, NOT OBLIGATION | OPTION WRITER | CONTINGENT OBLIGATION | EXCHANGE CASH-FLOW STREAMS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
FUTURE → symmetric buyer/seller obligations	OPTION WRITER → contingent obligation	FUTURE → symmetric buyer/seller obligations
OPTION BUYER → right, not obligation	SWAP → exchange cash-flow streams	OPTION BUYER → right, not obligation

CORE CLAIM
- FUTURE → symmetric buyer/seller obligations

MECHANISM
- OPTION WRITER → contingent obligation

CONSEQUENCE / LIMIT
- FUTURE → symmetric buyer/seller obligations

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIQUIDITY PREMIUM; OTHER RISK PREMIA → CREDIT SPREAD.

03

STAGE 03

DERIVATIVE OBLIGATION FORK

DERIVATIVE OBLIGATION FORK · SYMMETRIC BUYER/SELLER OBLIGATIONS · OPTION BUYER · RIGHT, NOT OBLIGATION · OPTION WRITER · CONTINGENT OBLIGATION · EXCHANGE CASH-FLOW STREAMS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
FUTURE → symmetric buyer/seller obligations	OPTION WRITER → contingent obligation	FUTURE → symmetric buyer/seller obligations
OPTION BUYER → right, not obligation	SWAP → exchange cash-flow streams	OPTION BUYER → right, not obligation

CORE CLAIM

- FUTURE → symmetric buyer/seller obligations
- OPTION BUYER → right, not obligation

MECHANISM

- OPTION WRITER → contingent obligation
- SWAP → exchange cash-flow streams

CONSEQUENCE / LIMIT

- FUTURE → symmetric buyer/seller obligations
- OPTION BUYER → right, not obligation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OPTION WRITER → contingent obligation; SWAP → exchange cash-flow streams.

04

STAGE 04

PURPOSE TEST

PURPOSE TEST · PRE-EXISTING EXPOSURE? · HEDGE SIZE AND TENOR · SPECULATIVE EXPOSURE · SAME CONTRACT CAN REDUCE OR ENLARGE RISK

PRE-EXISTING EXPOSURE?

YES → hedge size and tenor → NO → speculative exposure → SAME CONTRACT can reduce or enlarge risk

CORE CLAIM

- PRE-EXISTING EXPOSURE?
- YES → hedge size and tenor

MECHANISM

- NO → speculative exposure
- SAME CONTRACT can reduce or enlarge risk

CONSEQUENCE / LIMIT

- PRE-EXISTING EXPOSURE?
- YES → hedge size and tenor

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NO → speculative exposure; SAME CONTRACT can reduce or enlarge risk.

05

STAGE 05

CLEARING AND LEVERAGE RAIL

CLEARING AND LEVERAGE RAIL · MARGIN + MARK-TO-MARKET · CLEARING CORPORATION · BASIS, LIQUIDITY AND LEVERAGE RISK

MARGIN + MARK-TO-MARKET → CLEARING CORPORATION → RESIDUAL → basis, liquidity and leverage risk

CORE CLAIM

- MARGIN + MARK-TO-MARKET
- CLEARING CORPORATION

MECHANISM

- RESIDUAL → basis, liquidity and leverage risk
- MARGIN + MARK-TO-MARKET

CONSEQUENCE / LIMIT

- CLEARING CORPORATION
- RESIDUAL → basis, liquidity and leverage risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLEARING CORPORATION; RESIDUAL → basis, liquidity and leverage risk.

06

STAGE 06

POOLED-VEHICLE MAP

POOLED-VEHICLE MAP · MUTUAL FUND · POOLED MANDATE + NAV · EXCHANGE-TRADED FUND UNIT · PRIVATELY POOLED CATEGORY FRAMEWORK · INFRASTRUCTURE CASH FLOWS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MUTUAL FUND → pooled mandate + NAV	AIF → privately pooled category framework	MUTUAL FUND → pooled mandate + NAV
ETF → exchange-traded fund unit	REIT / InvIT → property / infrastructure cash flows	ETF → exchange-traded fund unit

CORE CLAIM

- MUTUAL FUND → pooled mandate + NAV
- ETF → exchange-traded fund unit

MECHANISM

- AIF → privately pooled category framework
- REIT / InvIT → property / infrastructure cash flows

CONSEQUENCE / LIMIT

- MUTUAL FUND → pooled mandate + NAV
- ETF → exchange-traded fund unit

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REIT / InvIT → property / infrastructure cash flows

STAGE 06 POOLED-VEHICLE MAP

POOLED-VEHICLE MAP · MUTUAL FUND · POOLED MANDATE + NAV · EXCHANGE-TRADED FUND UNIT · PRIVATELY POOLED CATEGORY FRAMEWORK · INFRASTRUCTURE CASH FLOWS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MUTUAL FUND → pooled mandate + NAV	AIF → privately pooled category framework	MUTUAL FUND → pooled mandate + NAV
ETF → exchange-traded fund unit	REIT / InvIT → property / infrastructure cash flows	ETF → exchange-traded fund unit

CORE CLAIM
- MUTUAL FUND → pooled mandate + NAV
- ETF → exchange-traded fund unit

MECHANISM
- AIF → privately pooled category framework
- REIT / InvIT → property / infrastructure cash flows

CONSEQUENCE / LIMIT
- MUTUAL FUND → pooled mandate + NAV
- ETF → exchange-traded fund unit

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REIT / InvIT → property / infrastructure cash flows.

STAGE 07 ACCESS INSTRUMENTS BOARD

ACCESS INSTRUMENTS BOARD · OFFSHORE INSTRUMENT VIA REGISTERED FPI · INFLATION-LINKED PAYOUT OR PRINCIPAL · DEBT WITH EQUITY CONVERSION TERMS · RELATIVE MARKET VOLATILITY

P-NOTE → offshore instrument via registered FPI

IIB → inflation-linked payout or principal → CONVERTIBLE → debt with equity conversion terms → BETA → relative market volatility

CORE CLAIM
- P-NOTE → offshore instrument via registered FPI
- IIB → inflation-linked payout or principal

MECHANISM
- CONVERTIBLE → debt with equity conversion terms
- BETA → relative market volatility

CONSEQUENCE / LIMIT
- P-NOTE → offshore instrument via registered FPI
- IIB → inflation-linked payout or principal

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONVERTIBLE → debt with equity conversion terms; BETA → relative market volatility.

STAGE 08 TOKENISATION BOUNDARY

TOKENISATION BOUNDARY · UNDERLYING REAL-WORLD ASSET · DIGITAL TOKEN REPRESENTATION · ACCESS MAY BECOME FRACTIONAL · TITLE + CUSTODY + DISCLOSURE REMAIN DECISIVE

UNDERLYING REAL-WORLD ASSET

DIGITAL TOKEN REPRESENTATION → ACCESS may become fractional → TITLE + CUSTODY + DISCLOSURE remain decisive

CORE CLAIM
- UNDERLYING REAL-WORLD ASSET
- DIGITAL TOKEN REPRESENTATION

MECHANISM
- ACCESS may become fractional
- TITLE + CUSTODY + DISCLOSURE remain decisive

CONSEQUENCE / LIMIT
- UNDERLYING REAL-WORLD ASSET
- DIGITAL TOKEN REPRESENTATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCESS may become fractional; TITLE + CUSTODY + DISCLOSURE remain decisive.

STAGE 09 USE-OF-PROCEEDS TAXONOMY

USE-OF-PROCEEDS TAXONOMY · GREEN BOND · ENVIRONMENTAL PROJECTS · SOCIAL BOND · SOCIAL PROJECTS · SUSTAINABILITY BOND · LABEL DOES NOT ELIMINATE CREDIT RISK · CLOSE DISTINCTION

GREEN BOND → environmental projects

SOCIAL BOND → social projects → SUSTAINABILITY BOND → both → LABEL does not eliminate credit risk

CORE CLAIM
- GREEN BOND → environmental projects
- SOCIAL BOND → social projects

MECHANISM
- SUSTAINABILITY BOND → both
- LABEL does not eliminate credit risk

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures...
- GREEN BOND → environmental projects

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures.

09

STAGE 09 USE-OF-PROCEEDS TAXONOMY

USE-OF-PROCEEDS TAXONOMY · GREEN BOND · ENVIRONMENTAL PROJECTS · SOCIAL BOND · SOCIAL PROJECTS · SUSTAINABILITY BOND · LABEL DOES NOT ELIMINATE CREDIT RISK · CLOSE DISTINCTION

GREEN BOND → environmental projects

SOCIAL BOND → social projects → SUSTAINABILITY BOND → both → LABEL does not eliminate credit risk

CORE CLAIM
- GREEN BOND → environmental projects
- SOCIAL BOND → social projects

MECHANISM
- SUSTAINABILITY BOND → both
- LABEL does not eliminate credit risk

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures...
- GREEN BOND → environmental projects

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures.

10

STAGE 10 INVESTOR-PROTECTION STACK

INVESTOR-PROTECTION STACK · DISCLOSURE + PRODUCT LABELLING · REGISTERED ADVISERS + INTERMEDIARIES · MARGIN + SETTLEMENT + GRIEVANCE · BUSINESS AND MARKET LOSS REMAIN · EVIDENCE LIMIT · IDENTIFY LEGAL CLAIM, PAYOFF

DISCLOSURE + PRODUCT LABELLING

REGISTERED ADVISERS + INTERMEDIARIES → MARGIN + SETTLEMENT + GRIEVANCE → LIMIT → business and market loss remain

CORE CLAIM
- DISCLOSURE + PRODUCT LABELLING
- REGISTERED ADVISERS + INTERMEDIARIES

MECHANISM
- MARGIN + SETTLEMENT + GRIEVANCE
- LIMIT → business and market loss remain

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify legal claim, payoff,...
- DISCLOSURE + PRODUCT LABELLING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify legal claim, payoff,.

11

STAGE 11 SECURITIES ANSWER SPINE

SECURITIES ANSWER SPINE · CLASSIFY CLAIM AND CASH-FLOW PRIORITY · MAP LIQUIDITY PROMISE AND LEVERAGE · TRACE REGULATOR AND SETTLEMENT · MATCH INSTRUMENT TO INVESTOR EXPOSURE

CLASSIFY claim and cash-flow priority → MAP liquidity promise and leverage → TRACE regulator and settlement → MATCH instrument to investor exposure

CORE CLAIM
- CLASSIFY claim and cash-flow priority
- MAP liquidity promise and leverage

MECHANISM
- TRACE regulator and settlement
- MATCH instrument to investor exposure

CONSEQUENCE / LIMIT
- CLASSIFY claim and cash-flow priority
- MAP liquidity promise and leverage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE regulator and settlement; MATCH instrument to investor exposure.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · DURATION AND CONVEXITY EXPLAIN BOND-PRICE SENSITIVITY BEYOND THE SIMPLE · CREDIT SPREAD COMPENSATES FOR DEFAULT, LIQUIDITY AND RISK-PREMIUM COMPONENTS · OPTION VALUE DEPENDS ON THE UNDERLYING, STRIKE, TIME, VOLATILITY · FUND STRUCTURE CHANGES LIQUIDITY TRANSFORMATION · OPEN-ENDED REDEMPTION PROMISES CAN · INDEX INVESTING REDUCES SECURITY-SELECTION COSTS BUT MAY CONCENTRATE FLOWS · TOKENISATION CAN FRACTIONALISE CLAIMS, YET LEGAL TITLE, CUSTODY, SETTLEMENT

OPTIONAL SOURCE DEPTH
- CAUTION: Duration and convexity explain bond-price sensitivity beyond the simple inverse yield
- CAUTION: Credit spread compensates for default, liquidity and risk-premium components over a
- CAUTION: Option value depends on the underlying, strike, time, volatility and rates; leverage
- CAUTION: Fund structure changes liquidity transformation: open-ended redemption promises can

ADVANCED DEBATE
- CAUTION: Index investing reduces security-selection costs but may concentrate flows in index
- CAUTION: Tokenisation can fractionalise claims, yet legal title, custody, settlement finality
- SEBI: regulates listed securities, mutual funds, AIFs, intermediaries and market
- Stock exchanges and clearing corporations: conduct trading, margins, clearing and

LEGACY / NUANCE
- RBI: manages government-securities market architecture and specified interest-rate
- Trustees, custodians and asset-management companies: separate fund assets, oversight
- CAUTION: A fixed-rate bond loses market value when comparable yields rise because its promised
- CAUTION: A call-option buyer has a right, while the writer carries a contingent obligation

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels